STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

Renault

Euronext Paris: RNO · Consumer Discretionary / Automobiles · France

Net cash and the finance arm cover most of the price: the car business comes almost free

OVERWEIGHT	€36.00	€28.17	+28%
Rating	Base-case value	Price, 29 Oct 2026	Upside, 12 months

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

Overweight: the margin reset is done and the balance sheet is the floor

OUR CALL

OVERWEIGHT

Target	€36.00
Price	€28.17
Upside	+28%
Horizon	12 months
Conviction	Medium-high

1

The balance sheet is the floor

Automotive net cash of €6.6bn (June 2026) against an €8.1bn market value.

~80%

of the market value in net cash

2

The reset is done

2026 margin guide of ~5.5% confirmed three times; 5-7% through-cycle band.

~5.5%

2026 operating margin guide

3

A product cycle is starting

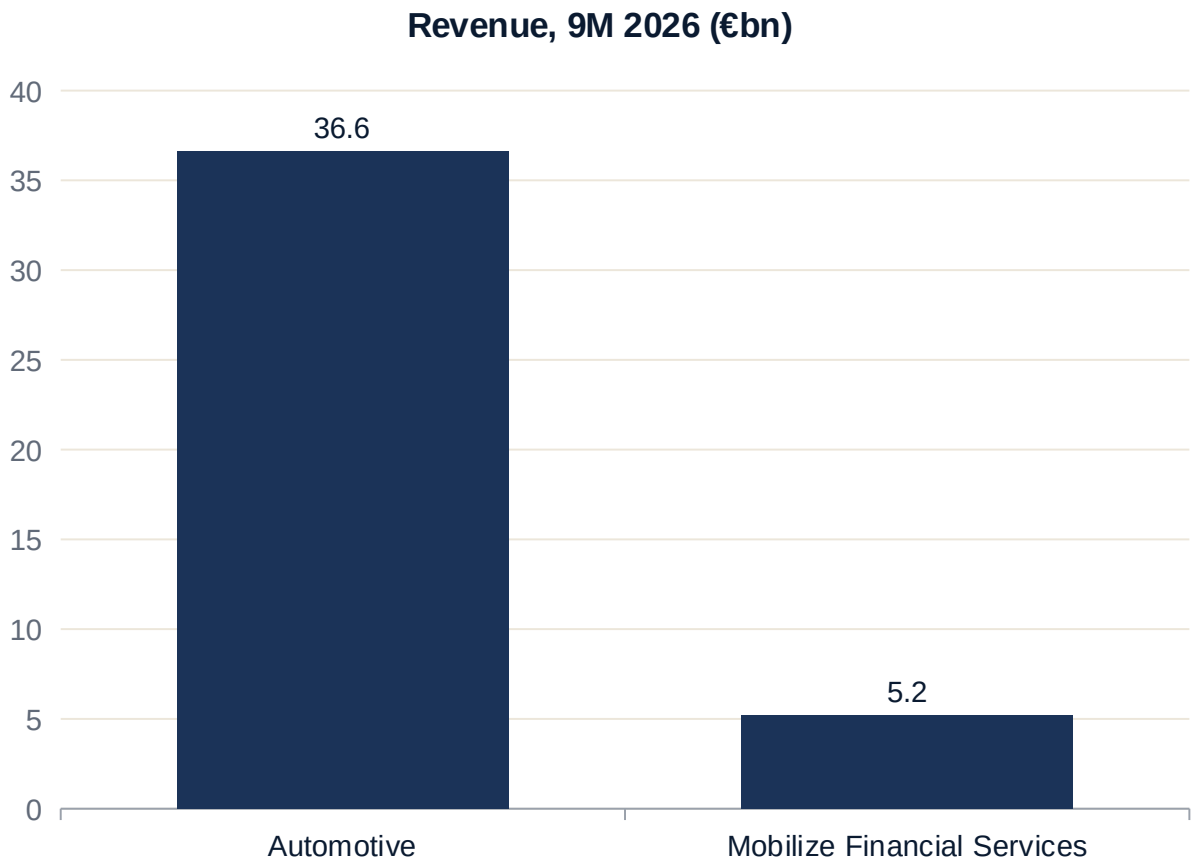
futuREady: 36 launches by 2030 on a two-year development cycle.

4.3x

P/E 2026e (consensus)

Source: Renault Group FY2025 release and URD 2025 (share count), H1 and Q3 2026 releases; consensus third-party (29 Oct 2026).

A carmaker with a bank attached: Mobilize is 12% of revenue and a steady earner



Renault, Dacia, Alpine

European B and C segments; Dacia is the low-cost brand. No US sales.

Mobilize Financial Services

Captive finance: €753m of operating margin in H1 2026, ~€500m a year of dividends targeted.

Nissan stake

About 34% (15% direct, 18.7% in a trust free to sell); we give it no value.

Source: Renault Group Q3 2026 revenue release, H1 2026 release, URD 2025 (Nissan shareholding).

European volumes are soft and Chinese brands are coming: pricing, not volume, is the test

−6.0%

Group volumes, Q3 2026

Flat European demand; Chinese brands gain share where Dacia plays.

25.8%

EV share of car sales, Q3

EU CO2 rules force the mix shift and compress pricing.

BBB−

S&P rating, Dec 2025

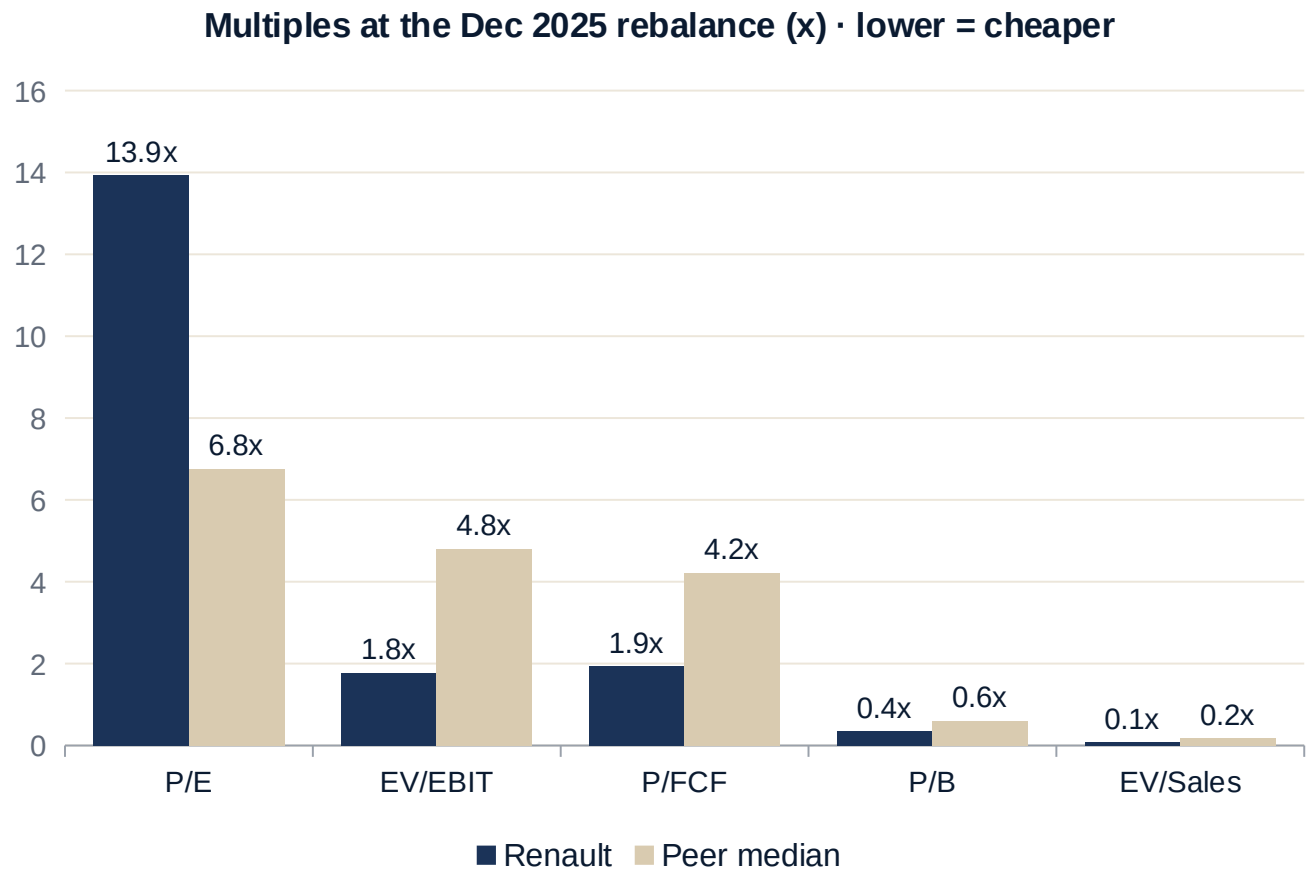
Investment grade lowers Mobilize's funding cost.

€400

Variable cost cut per car per year

The futuREady plan's answer to Chinese price competition.

Ranked 1 of 102 in Consumer Discretionary: EV/EBIT 1.8x against 4.8x for peers



1 / 102

Value rank in its sector

Top of the sector on EV/EBIT, FCF yield and book-to-price.

7 / 10

Rebalances held (since Jun 2021)

H1 2026 return −24.3% vs +10.8% for MSCI World.

Core: France

In the 70/30 value strategy

Held through the France ETF line; not in the satellite in June 2026.

Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-12, used with a 6-month lag); peers = same GICS industry group.

VARIANT PERCEPTION

The market prices a permanent trough; we think the reset is behind us

THE MARKET SAYS	WE SAY
“Chinese competition will crush margins.”	Pricing and mix held in 2026; the plan cuts €400 of variable cost per car a year.
“The cash is trapped and will be burnt.”	€1.5bn of automotive FCF in 2025 and a €2.20 dividend paid from it.
“Management keeps cutting guidance.”	One reset in July 2025; the 2026 guide has since been confirmed three times.

2025 was hit by a non-cash Nissan loss; the cash engine kept running

	FY2024	FY2025	H1 2026	2026 guide
Revenue	€56.2bn	€57.9bn	€30.3bn	—
Operating margin	7.6%	6.3%	5.2%	~5.5%
Net income, group share	€0.75bn	−€10.9bn*	€0.7bn	—
Automotive FCF	**€2.9bn**	**€1.5bn**	**€0.65bn**	**~€1.0bn**
Automotive net cash	—	€7.4bn	€6.6bn	—
Dividend per share	€2.20	€2.20	—	—

WHAT TO WATCH

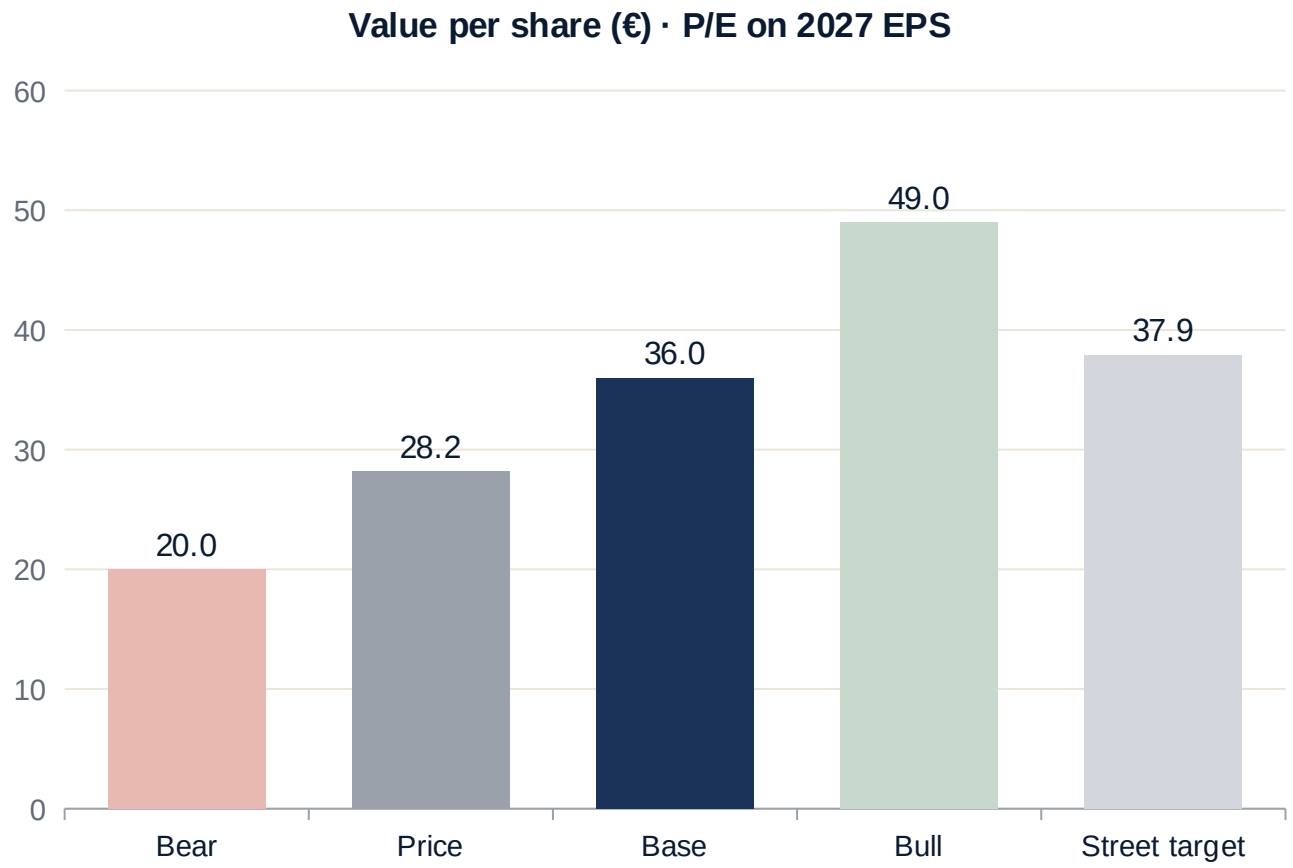
Feb 2027

FY2026 results: margin against the ~5.5% guide and automotive FCF against ~€1.0bn, plus the dividend.

*Source: Renault Group FY2025 release (19 Feb 2026), H1 2026 release. *Includes a €9.3bn non-cash loss on the Nissan stake.*

VALUATION

€36 base case: 6x a below-consensus 2027 EPS, and the parts we can price exceed the market value



HOW WE GET THERE

P/E on 2027 EPS, sum-of-the-parts check

1. **EPS €6.0 × 6x = €36**
   Below the ~€6.6 consensus implies for 2026.

2. **Bear €20, bull €49**
   €4 × 5x if margin breaks 5%; €7 × 7x if savings land.

3. **Parts > price**
   Net cash €6.6bn + Mobilize at 7x ≈ €14.5bn vs €8.1bn.

Source: own valuation; Renault Group H1 2026 release; consensus third-party (29 Oct 2026).

CATALYSTS

Launches now, then the FY2026 results test the cash

Nov-Dec 2026

HARD

New launches

Megane E-Tech, Dacia Striker, Sandero hybrid, New Spring.

Year-end 2026

HARD

FCF and inventory

~€1.0bn of FCF; stock back to 525-550k units.

Feb 2027

HARD

FY2026 results

Margin, dividend, first year of futuREady savings.

2026-2027

SOFT

Nissan and Mobilize

Any stake sale; Mobilize dividends toward €500m a year.

The number to watch: automotive free cash flow of about €1bn in 2026, with net cash above €6bn.

RISKS

The risk is a European price war; the cash gives time

European price war with Chinese brands

Dacia's cost position and €400 a year of variable cost cuts per car.

Execution of futuREady

The two-year development cycle is already used on the 2026 launches.

Mobilize credit if used-car prices fall

Investment-grade funding and a diversified retail book.

WE CHANGE THE CALL IF

- → 2026 margin below 5%, or automotive FCF well below €1bn
- → Net cash below €5bn without a clear use
- → Another guidance cut or a dividend cut in February 2027

OVERWEIGHT

Base case €36 · +28%

Net cash and Mobilize cover the price; the car business comes almost free

€6.6bn	4.3x	Feb 2027
Automotive net cash	**P/E 2026e**	**Key catalyst**
~80% of market value	consensus	FY2026 results

Questions?

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

Sources and disclosures

[1] Renault Group, "H1 2026 results" press release, 29/07/2026, via MFN/GlobeNewswire

[2] Renault Group, "Renault Group delivers resilient Q3 revenue and confirms its 2026 financial guidance", 29/10/2026

[3] Renault Group, "Renault Group launches futuREady, opening a new strategic era", 10/03/2026

[4] Investing.com via Yahoo Finance, "Renault revenue beats estimates as automaker reaffirms 2026 outlook", 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[5] MarketScreener, Renault finances/consensus page, data 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[6] StockAnalysis, Renault statistics, data 29/10/2026 (third-party market data; to be replaced by Bloomberg, Dec 2026)

[7] Renault Group, 2025 full-year results press release, 19 Feb 2026

[8] Renault Group, 2025 FY financial results presentation, 19 Feb 2026

[9] Renault Group, Document d'enregistrement universel 2025 (filed with the AMF on 18 Mar 2026): Nissan shareholding, share count, July 2025 guidance revision

Student research by Noah Doose (MSc Financial Markets & Investments, SKEMA Business School) for educational purposes and job interviews. Not investment advice or a solicitation. Market data (prices, consensus, forward multiples) is third-party as of the date shown and will be refreshed from Bloomberg; company figures come from the filings listed. Screen data: Thoth Ledger pipeline on Bloomberg data extracted on the SKEMA terminal (Oct 2026).